11.24.2025 - 12.01.2025

Enterprise Valuation Group

WEEKLY NEWSLETTER

MARKETS | M&A | EVENTS

BITCOIN DOWN TO 90K, ERASING ALL YTD GAINS

Bitcoin's performance this month reflects a sharp reversal in risk appetite. Despite expectations of upcoming Fed cuts, markets shifted into a risk-off tone amid broader concerns about AI-driven volatility. After six straight months of gains in U.S. equities, November finally delivered a down month, and the cross-asset de-risking spilled directly into crypto.

Bitcoin fell from its October all-time high of 126k as spot prices broke key support levels, triggering margin calls and more than $2B in leveraged long liquidations. Futures and perpetual open interest, which had been building steadily into the rally, amplified the downturn. The broader crypto market cap slipped below $3T, Ethereum dropped toward the low-$3K range, and DATs crashed. Even BlackRock's Bitcoin ETF saw $2.2B in outflows. Notably, most of the unwind occurred during U.S. trading hours, while APAC and EU flows remained relatively stable.

Bitcoin

Year High: ~$126 000
Year Low:~ $60 000

Bitcoin annualized volatility: ~43%
S&P 500 annualized volatility: ~20%

WARNER BROTHERS DISCOVERY BID CONTINUES

Warner Bros. Discovery (NASDAQ: WBD) is running a competitive sale process, with Paramount Skydance (NASDAQ: PSKY), Comcast (NASDAQ: CMCSA), and Netflix (NASDAQ: NFLX) having submitted the first round of bids. The bidders will submit a second round of improved offers on December 1st, where management considers going exclusive if offered prices higher than the previously rejected $23.5 per share price. WBD, being the merger of WarnerMedia (ex AT&T) and Discovery, carries a portfolio of mixed legacy cable networks and streaming.

Its main growth driver, streaming, requires sustained heavy content and tech investment that the current balance sheet cannot support. After management explored a plan to break up the company into its two lines of business, incoming interest from bidders prompted the board to open first-round bids for November 20.

Paramount Skydance, the highest-bidding and most likely buyer, is targeting the entire enterprise. WDB's Warner Bros and HBO can combine with Paramount Pictures and Paramount + to create a scaled content and streaming player. In the news avenue, the merged company will own both CBS and CNN, taking a ~20% slice in the TV and digital news market. More importantly, Skydance's $40 billion balance sheet can be used to create content for WBD franchises, such as DC, Lord of the Rings, and MonsterVerse across threater and streaming. On the other hand, Comcast and Netflix are focused on WBD's studio and streaming segment, which is highly synergistic with their respective core products.

Comcast could combine Peacock with Max, given there is a limited overlap in subscribers, while adding WBD's film portfolio to NBCUniversal. Similarly, Netflix is vying to transform a supplier into its portfolio, while using WBD's capabilities in theatre to create content for Netflix Originals.
All three scenarios would trigger DOJ and FCC scrutiny, as well as hesitation from investors who recall the failed Comcast-Time Warner Cable merger.

Comcast could combine Peacock with Max, given there is a limited overlap in subscribers, while adding WBD's film portfolio to NBCUniversal. Similarly, Netflix is vying to transform a supplier into its portfolio, while using WBD's capabilities in theatre to create content for Netflix Originals.

All three scenarios would trigger DOJ and FCC scrutiny, as well as hesitation from investors who recall the failed Comcast-Time Warner Cable merger.

Paramount-Skydance has offered $23.50 per share, while Comcast and Netflix offer an undisclosed price of around $20. Management anticipates a high-20s to 30s share price, which would imply a low to mid-teens EBITDA multiple on a 2026 basis. The stock currently trades at high single to low double digit EBITDA, in line with historical levels as a cable-heavy media firm. In September, rumors on a potential takeover began circulating, causing the stock to rise by 67% over the month, from 12 to 19. The bid became public on October 21st, when the stock jumped from 18.32 to 20.33 intraday.

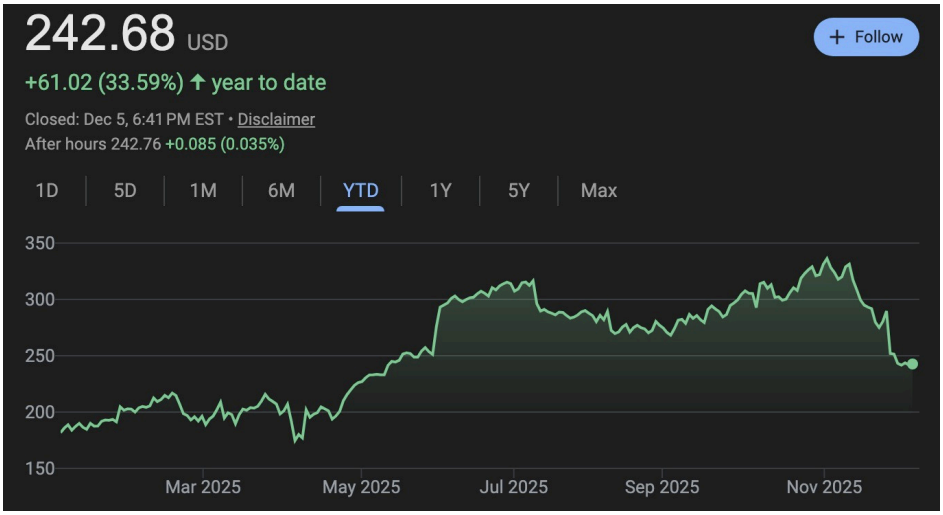
Personally, I believe Paramount Skydance is the most likely buyer, just as many investors do, while the regulatory risks would impact the three scenarios in similar ways. I'm looking forward to hearing the announcement, which will mark this decade's largest media merger, as well as what shows the pro forma company has in store for us.

MARKETS UPDATE

EQUITIES

Earnings season is largely complete, with 483 of 500 S&P 500 companies now reported. Q3 2025 earnings were strong overall, with S&P EPS growth around 13%-17% and broad sector participation led by Tech, Financials, Industrials, Materials and Utilities, while Energy and Staples lagged. The pattern points to an economy driven by AI/tech capex and high-income consumption, with a "K-shaped" consumer backdrop and pressure on more rate- and commodity-sensitive areas. Google's multi-year deal to supply Anthropic with TPUs prompted investors to rotate out of other Mag 7 names, mainly Microsoft and Meta, and into Google, whose deep roots in consumer electronics and enterprise software gained renewed recognition.

SaaS: Zscaler (Nasdaq: ZS) posted a clean beat across key metrics, but the stock sold off as investors focused on decelerating growth and a forward guide that failed to set a high bar. It reflects a market regime where simply beating and raising is no longer enough to impress.



AI and Infrastructure: Dell (NYSE: DELL) delivered in-line results with a notable upside surprise in AI server demand. The strength suggests that AI infrastructure spending may help offset cyclical softness in PCs and legacy storage, and that AI capex is spreading beyond hyperscalers to traditional enterprise providers.

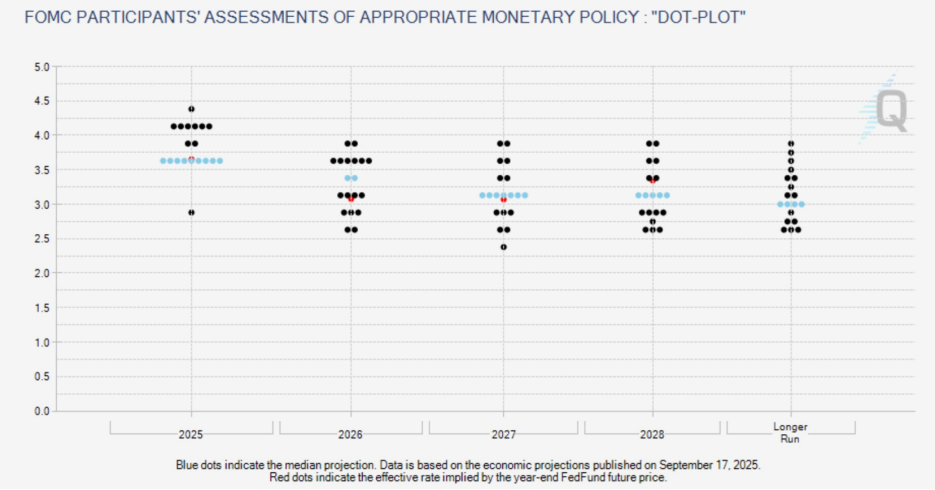
Retail: Best Buy (NYSE: BBY) reported a clean beat on revenue and earnings. Computing and gaming held up better than expected, while home appliances lagged. This shows that discretionary demand is becoming more selective and can't be captured by a simple "strong vs. weak consumer" narrative.

Industrial Equipment: Deere (NYSE: DE) reported higher revenue but missed on EPS, with net income declining year over year. This fits a late-cycle pattern where order books remain healthy, but margins compress under tariff pressures. It also demonstrates that even tech-enabled industrials are not fully insulated from macro headwinds.

Today's November ISM Manufacturing PMI report shows the index at 48.2%, a decrease from 48.7% in October. A reading below 50 indicates a contraction in US manufacturing activity, marking nine consecutive months of contraction this year. All three indices dipped in the morning but recovered quickly.

RATES

December Cut Forecast: Traders are now pricing in an 80 percent probability of a third Fed cut in December. Looking ahead to the January 27–28 FOMC meeting, markets will digest three more payroll releases (October, November, December). Pricing currently implies about 27 basis points of easing, suggesting one cut.



Potential New Fed Chair Kevin Hassett: Kevin Hassett is expected to become the next Fed Chair. Seen as a pro-Trump, dovish candidate, he is anticipated to push for more aggressive rate cuts in 2026. Market concern remains limited, since the broader FOMC committee can counterbalance any overly dovish stance. The dollar has shown only a modest, contained decline on expectations of Hassett's tilt.

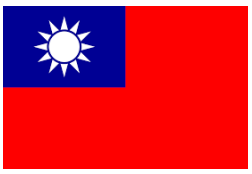
Trade pitch: Short-volatility carry trades have performed well recently, but the positioning has become crowded. Over the past quarter, realized rate volatility has been lower than what the options market priced in. Many investors have bought long-duration bonds to capture carry, but with limited rate swings, mark-to-market moves have been muted, reducing the demand for hedges. Despite this complacency, adding some rate-vol hedges now is recommended.

FX

0.76 USD/GBP The dollar has stayed firm as U.S. growth and real yields remain relatively resilient, while the UK faces weaker growth and sticky inflation that forces the BoE to balance recession risk against cutting too soon. This leaves GBP under modest pressure, with the pair grinding higher toward the upper end of its 2025 range.

0.86 - 0.87 USD/EUR Markets are pricing that the Fed is closer to cutting than earlier in the year but still slightly more hawkish than the ECB, keeping some USD carry advantage. At the same time, Eurozone data show weak but positive growth, so EUR has stabilized rather than collapsing, leading to a relatively tight range.

7.09–7.10 USD/CNY The PBoC and CFETS are using the daily fixing and window guidance to cap volatility and prevent sharp depreciation while tolerating a slightly weaker CNY to support exports and offset sluggish domestic demand and property-sector stress. Policy divergence versus the Fed plus growth concerns keep CNY on the weak side of its historical band.



32.0 - 32.5 USD/TWD TWD is pulled between strong structural demand linked to Taiwan's semiconductor/export cycle and cyclical pressure from softer global electronics orders and lingering geopolitical risk premia. Higher U.S. yields and cautious global risk appetite have kept USD/TWD elevated versus earlier in the cycle, even as tech exports show signs of stabilizing.

156 USD/JPY Very wide rate differentials remain the dominant force, with the BoJ only tentatively exiting ultra-easy policy while U.S. real yields are still positive. That keeps JPY weak and supports USD/JPY, tempered periodically by intervention risk and official jawboning whenever the pair probes new highs.

1.40 USD/CAD CAD is pressured by softer domestic growth, relatively dovish BoC expectations, and only modest support from oil prices, while the Fed remains comparatively hawkish. As a result, USD/CAD trades toward the top of its post-pandemic range, consistent with markets pricing slower Canada growth and persistent U.S. rate premium.

GOLD at $4200/oz

Elevated but stabilizing inflation expectations and persistent geopolitical risk are supporting strong safe-haven and diversification demand. Expectations that the Fed is near or past peak rates, combined with heavy central-bank and ETF buying, have driven gold to record or near-record nominal highs despite still-positive real yields.

Silver at $55-56/oz

Silver is riding the same macro/safe-haven bid as gold but with added beta from industrial demand (notably solar, electronics and green-energy supply chains), which helps explain its outsized percentage gains. Tight physical markets and concerns about constrained mine supply/refining capacity have amplified the upside, making silver more volatile than gold on both macro and micro shocks.

WTI and BRENT at $59-60/BBL

Prices in the high-50s (WTI) and low-60s (Brent) reflect a market dominated by concerns about oversupply (robust non-OPEC+ output, high inventories) and slower demand growth, partly due to weaker global manufacturing and energy transition effects.
OPEC+ production management and episodic geopolitical flare-ups are providing some floor, but the risk premium is being outweighed by fundamentals, leading to a shallow downtrend and relatively muted reaction to headlines.

TECHNICALS CORNER

INVESTMENT BANKING

When a company borrows $100 of debt to issue stock, how do enterprise value and equity value change?

SALES AND TRADING

What's the difference between Macaulay duration and modified duration?

BRAIN TEASER

How many soccer balls can fit into Morgan Stanley's headquarters?

EVENTS @ COLUMBIA

Thursday (Dec 4)
Columbia Alpha Partners 6:30 PM @ Room TBD with TPG Real Estate
Columbia Restructuring Group 9 PM @ Uris 330 for an Evercore RX panel with analysts